Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

Corporate Finance Team Project

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FIN803 Corporate Finance

Why This Matters in Corporate Finance

- Earnings disclosures matter because they update expectations about future cash flows and therefore firm value.
- If markets are efficient, stock prices should adjust quickly when the disclosure contains genuinely new information.
- This makes earnings surprise a useful setting for linking disclosure, valuation, and market efficiency.

Research Question and Prediction

Core Question

Do firms with more positive earnings surprise experience better short-run abnormal returns around the disclosure date in China A-shares?

- Prediction: more positive surprise should be associated with more positive abnormal return.
- We focus on short-run price adjustment rather than long-run drift.
- The goal is a clean empirical test, not a forced strong headline.

Sample and Empirical Setup

- Our headline sample focuses on earnings preannouncements, because they are the cleanest event type for isolating the disclosure shock.
- Other earnings-related events are useful comparisons, but they mix different information environments and weaken interpretation.
- We examine abnormal returns over short windows from 3 to 20 trading days after the event.

Why this design is narrower

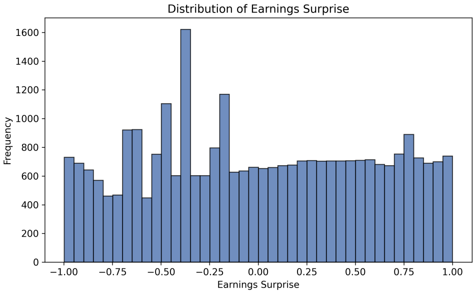
A narrower sample is less likely to give an inflated headline result, but it is more credible for a valuation-based interpretation.

How We Measure Earnings Surprise

- We benchmark the disclosure against analyst expectations matched as closely as possible to the same reporting period.
- We compare three surprise lenses: level, percentage, and standardized surprise.
- The estimated relation can look different when surprise is scaled differently.

Interpretation rule

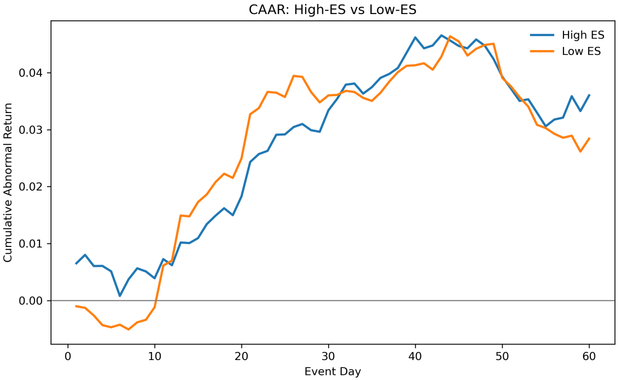
Standardized surprise is a robustness view, not the only headline definition.



Baseline distribution of earnings-surprise observations.

Main Result: Directional but Modest Evidence

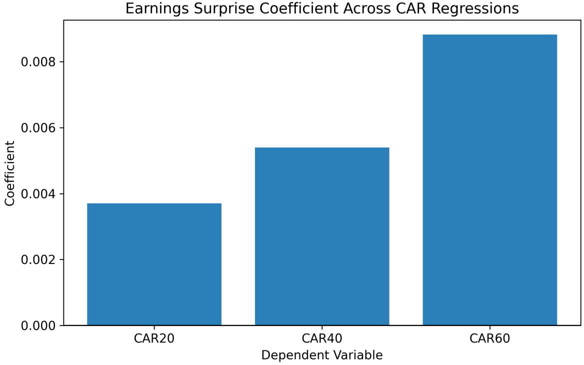
- The cleanest sample shows the expected direction: firms with higher surprise generally outperform firms with lower surprise after the disclosure.
- This is consistent with short-run valuation adjustment.
- But the visual separation is not strong enough, by itself, to justify an aggressive headline claim.



Cumulative abnormal return paths for high-surprise and low-surprise groups in the cleaner baseline sample.

Results Depend on Specification Choices

- The estimated effect changes when we change how surprise is scaled and how tightly expectations are matched.
- That sensitivity is economically important because it tells us the result is not fully robust.
- So the right conclusion is disciplined and cautious, not headline-driven.



Regression evidence suggests that the estimated surprise-return relation is sensitive to specification choices.

What We Learn About Valuation and Efficiency

- The cleaner baseline is broadly consistent with the idea that earnings disclosures affect valuation in the short run.
- At the same time, the evidence is not strong enough to claim a large or universal inefficiency story.
- A more defensible interpretation is that the market response exists, but measured strength depends heavily on how expectations are constructed.

Why We Keep the Conclusion Cautious

- The strongest headline result is weak rather than decisive.
- Inference changes when surprise measurement, expectation matching, or event composition changes.
- That means empirical discipline matters as much as statistical significance in this setting.

Bottom line

The project is more convincing as a careful corporate-finance empirical exercise than as proof of a strong market-inefficiency headline.

Conclusion

- Earnings-related disclosures do appear to matter for valuation in the cleaner preannouncement sample.
- The evidence is directionally supportive, but modest and sensitive to measurement choices.
- Our main takeaway is a cautious one: this is suggestive evidence on disclosure and market efficiency, not a definitive headline result.